EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Allacapan, Province of Cagayan started as a district of the Municipality of Taoit, Mountain Province in 1926. It was ceded to Cagayan in 1928 and became a regular Municipality in 1945 by virtue of Commonwealth Act 5904. Allacapan is a third-class municipality as per income class and is composed of 27 barangays, with a total population of 35,234 in 8,081 households (actual data from the Municipal Health Office based on the Barangay Health Worker Census 2020). It is one of the municipalities in the north located about 25 kilometers west of the Magapit Suspension Bridge.

B. Scope and Objectives of Audit

The audit covered the accounts and operations of the Municipality of Allacapan for CY 2025 and was aimed at determining whether Management presented fairly the Financial Statements of the Municipality in adherence to the International Public Sector Accounting Standards (IPSASs), and whether prevailing laws, rules and regulations have been complied with and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audits were conducted to achieve these audit objectives.

C. Financial Highlights

The highlights of the financial condition and financial performance of the Municipality of Allacapan, Cagayan for the year-ended December 31, 2025, with comparative figures for CY 2024, are as follows:

Particulars	2025	2024	Increase/ (Decrease)
Financial Position			
Assets	711,924,194.07	708,215,088.82	3,709,105.25
Liabilities	89,633,902.27	132,296,194.81	(42,662,292.54)
Government Equity	622,290,291.80	575,918,894.01	46,371,397.79
Financial Performance			
Income	271,508,545.87	232,465,478.52	39,043,067.35
Expenses	259,606,702.37	229,812,731.98	29,793,970.39
Net Income	11,901,843.50	2,652,746.54	9,249,096.96

D. Operational Highlights

The major accomplishments of the Municipality for CY 2025, in terms of implementation of programs, projects and activities, are as follows:

Name of Program/ Project/ Activity	Amount
Continuation of Allacapan People's Hospital	9,997,243.63
Concreting of Municipal Farm to Market Roads (Bulo-Gagaddangan)	4,997,424.15
Construction of Grains Processing Center @ Cataratan	4,490,714.10
Finishing of the Municipal Gymnasium (Highway)	4,256,249.13
Construction of Barangay Sports and Cultural Center (Cataratan)	4,996,337.79
Construction of Multi-Purpose Evacuation Center @ Gagaddangan	4,496,448.82
Repair and Rehabilitation of Evacuation Center - Tamboli	4,493,655.74
Total	**37,728,073.36**

E. Independent Auditor's Opinion on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the Financial Statements of the Municipality of Allacapan, Cagayan for the year-ended December 31, 2025 due to: (1) non-submission of the RPCPPE and non-conduct of one-time cleansing procedures in its physical inventory, thus, affecting the reliability of the said account amounting to P605,049,816.52; (2) unreconciled balance of Road Networks account per Accounting Records and Inventory Report amounting to P65,246,440.90; and (3) unreliable Cash in Bank balance amounting to P64,298,734.07.

F. Summary of Significant Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. Properties acquired by the Municipality with an aggregate cost of P4,422,665.00 were recorded in bulk in the Property, Plant and Equipment (PPE) schedule rather than on a per item basis contrary to Item 4.1 of COA Circular No. 2022-004 dated May 31, 2022, thus, the proper classification of the same as Semi-Expendable Property or PPE could not be determined. Moreover, properties issued with cost below the capitalization threshold of P50,000.00 amounting to P236,000.00, are still recorded under the PPE account, contrary to COA Circular No. 2024-006 dated March 14, 2024. Consequently, the PPE account is overstated as at December 31, 2025.

   We recommended that the Management:

   a. Require the Municipal Accountant to review and reclassify all properties recorded in bulk under the PPE account in the GF books with a total cost of P4,422,665.00, applying the P50,000.00 capitalization threshold on a per-item basis to properly distinguish PPE from semi-expendable properties;

   b. Require the Municipal Accountant to draw the necessary journal entries to remove from the SEF books the PPE accounts that fall under the classification of semi-expendable items with a carrying amount of

P69,306.67 and close the related Accumulated Depreciation to the appropriate accounts;

c. Ensure that all semi-expendable properties are supported with duly issued Inventory Custodian Slips (ICS) and are properly recorded in the required forms, registries, and reports; and

d. Strengthen compliance with COA Circular Nos. 2022-004 and 2024-006 by adopting controls to prevent bulk recording and ensure proper classification and monitoring of properties.

2. The non-accrual of the accumulated earned and unused leave credits of permanent, casual and elective government personnel as at December 31, 2025 resulted in the understatement of Leave Benefits Payable and Terminal Leave Benefits and the overstatement of Government Equity, contrary to International Public Sector Accounting Standards (IPSAS) 1, IPSAS 39 and COA Circular No. 2024-009 dated July 16, 2024, thereby, affecting the fair presentation of the Financial Statements.

   We recommended that the Management undertake the following:

   a. The Human Resource Management Officer (HRMO)-Designate to submit to the Municipal Accountant a year-end report of the earned and unused leave credits of all permanent, casual, and elective government personnel of the Municipality;

   b. The Municipal Budget Officer to provide for the inclusion, in the Municipality's Annual Budget of the amounts necessary to cover the payment of earned and unused leave credits of all permanent, casual, and elective government employees, and to ensure the proper authorization and appropriation thereof; and

   c. The Municipal Accountant to recognize and accrue, at year-end, the earned and unused leave credits based on the report submitted by the Human Resources Office to ensure that the Leave Benefits Payable and Government Equity accounts are fairly stated and that leave benefits transactions are recorded in the proper accounting period, in accordance with COA Circular No. 2015-009 dated December 1, 2015.

3. Other Receivables amounting to P3,601,906.69 remain dormant for more than ten (10) years due to non-compliance with the guidelines and procedures on the proper disposition, and write-off of dormant accounts as prescribed in COA Circular No. 2016-005 dated December 19, 2016, as amended by COA Circular No. 2023-008 dated August 17, 2023, thus, affecting the accuracy and reliability of the Financial Statements.

We recommended that the Management undertake the following:

a. Direct the Municipal Accountant to conduct regular and periodic verification, analysis, and validation of receivables to ensure their accuracy and existence;

b. For dormant accounts where records and documents are no longer available, conduct investigation as to the causes of the missing documents or to identify the officials and employees responsible; and

c. Initiate the request for write-off of the dormant accounts and comply with guidelines and procedures on the proper disposition and write-off/derecognition of dormant accounts outlined in COA Circular No. 2023-008 dated August 17, 2023.

G. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	**-**	**-**	**-**	**-**	
Disallowances					
Prior Years	2,509,226.02	-	-	2,509,226.02	0%
Current Year	-	-	-	-	-
Total	**2,509,226.02**	**-**	**-**	**2,509,226.02**	**0%**
Charges					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	**-**	**-**	**-**	-	

H. Status of Implementation of Prior Year's Audit Recommendations

Out of the thirty-two (32) audit recommendations embodied in the CY 2024 Annual Audit Report, eighteen (18) were fully implemented and fourteen (14) were not implemented.